GAUTAM ADANI 62
Chairman,
Adani Group

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Formal charges in a US court, an air marked by accusations of bribery and concealment of information, the attendant political backlash, pressure on stock prices, valuation losses. Yet the famed Adani growth appetite and business resilience stays

By M.G. Arun

IF there were many who left a mark on 2024, billionaire Gautam Adani was one on whom 2024 left a mark. Even if similar, it was not a straight carryover from the storm of 2023, when US shortseller Hindenburg levelled accusations that his group had inflated share prices by round-tripping funds through a maze of dodgy shell companies abroad. Judged only for their content, the new charges would have been par for the course in India. But they acquired more serious dimensions because of who made them: prosecutors at a federal court in Brooklyn, New York. A counter-charge of having vested interests would be difficult to make: this was the US Department of Justice, not a shortseller with skin in the game. Even if the case peters out to a settlement, the global stain would be somewhat more resistant to full repair.

It began on November 20 when the US District Court, Eastern District of New York, accused top executives of Azure Power, an Indian solar power producer listed on the New York Stock Exchange, of colluding with Gautam Adani and two of his senior executives since 2020 to pay $265 million (Rs 2,247 crore) in bribes to Indian officials across four states and a Union territory for securing contracts. Adding to the blow, the US Securities and Exchange Commission (SEC) said the Adani Group had concealed the alleged misconduct from investors. The news wiped Rs 2.25 lakh crore off the market value of various Adani Group shares in a single day on November 21.

It stung to the quick because Adani, his nephew Sagar Adani and Adani Green Energy CEO Vneet S. Jaain came out looking as having been directly named along with four Azure executives in the alleged acts of subornment. Azure faces a criminal charge for violating the Foreign Corrupt Practices Act (FCPA), which bars companies that operate in the US from bribing foreign officials. The parallel civil case by the SEC was that the Adani Group raised billions of dollars in the US even as the investigations were going on, keeping investors in the dark about those probes. The group denies the allegations. It also says Gautam, Sagar and Jaain only have against them charges of securities fraud, and the alleged conspiracies related to it and alleged wire fraud, not on the con-

The US court accused Adani, his nephew Sagar Adani, Adani Green Energy CEO Vneet S. Jaain of bribing officials of Indian state discoms in return for power sale agreements

